be enlightening for the Directors if Gregory addressed them regarding postwar currency plans. The Board agreed and August 9 was fixed as the day for informal discussions with the Board. Gregory could not attend due to a pressing appointment and it was decided that the Board would meet him on October 16, two days after their Board meeting. Deshmukh had prepared a detailed memorandum entitled 'Post-War Monetary Plans' and this along with elaborate notes prepared by B.K. Madan, Director of Research at the Bank, and H.D. Cayley, Deputy Controller, Exchange Control Department, was circulated to the members of the Board.

In his memorandum Deshmukh observed that while it was difficult to express any precise opinion on the plans given their fluidity, on the face of it, the Keynes plan was more idealistic and expansionary in character. The White plan was more practical and went into greater details about the constitution and management of the Fund. More importantly the White plan laid down detailed provisions for the liquidation of blocked war balances and thus was of greater interest to India. 'India could not, under this scheme, convert her blocked sterling into dollar holdings, but could use her sterling up to the limits laid down in the plan to purchase goods in any part of the world.'[13] In the short-term, the American plan suited India's needs well.

The Central Board met on October 16 as planned. A cable was sent to the Secretary of State expressing dissatisfaction at their (the Directors of the Central Board) lack of knowledge of current developments on the subject in America. Gregory met the Board two days later and answered questions on the technical aspects of the two schemes. The Board asked the Governor to draft a letter to the government reflecting its views on the various aspects of the plans. The Board observed that any international scheme had to be 'capable of promoting India's special interests in a way in which they would not be promoted if India stood aloof.'[14]

The Board wanted that raising the standard of living in underdeveloped countries like India should be included as one of the major objectives of any plan, failing which India would join 'only to avoid being left out in the cold in the economic sense.'[15] India would participate as a free agent and that her actual participation would be worthwhile only if satisfactory provisions were made for the orderly liquidation of sterling balances, voting rights in